

Since you don't trade on your longer-term directional views, how do you decide whether you want to be long or short the S&P?

I try to look at anything the market thinks is important at the moment. Right now, I'm looking at financial stocks in the U.S. and Europe as well as European markets in general because those are the key factors that are driving the current market. I am sure a year from now, I will be looking at completely different things. A year ago, everything was China; now China is irrelevant. So that clue doesn't work anymore.

Why do you think you have been successful whereas so many other traders fail?

Since I started in the business, I have seen a number of traders who ended up committing suicide or being homeless. The one trait they all shared was that they had a gambler's mentality. When they were losing, they were always looking for that one trade that would make it all back. I learned early on that you can't do that. This is a business where you have to work. That is what I do. Every day I make hundreds of transactions. I grind out the returns. If you look at my daily returns, you will see there are very few big up days.



The essence of Benedict's approach is that he looks at markets in context of the price action in other markets, rather than in isolation. Markets are correlated, but these correlations come and go and can change radically over time. There are times when the S&P and T-bonds will move in the same direction, and times when they will move in opposite directions. There are times when the S&P 500 will follow crude oil prices, and times when the stock market ignores crude oil prices. Benedict is intently watching these intermarket relationships, not merely day by day, but minute by minute. At any given time, the price action in a market may be highly influenced (directly or inversely) by the price action of another market or several other markets.

Knowing the prevailing correlations is only the start. There is no rulebook as to what trades to do when a correlated market has a price move. Sometimes, the trade will be to anticipate a lagged response; sometimes the failure for a market to respond as expected may signal inherent market